

Chapter 10

INVESTOR PSYCHOLOGY: VALUATION

When pessimism about the future course of a market is widespread, the market is nearer a bottom than a top. When optimism about the future course of a market is widespread, the market is nearer a top than a bottom. This fact appears perverse to novice investors who read the news for guidance, but in fact is true by definition. A market top is the point at which the most money has been committed, and a market bottom is the point at which the least money has been committed. People commit money when they are optimistic and withdraw it when they are pessimistic.

There are several gauges of optimism and pessimism that are useful in confirming an analysis based upon the Wave Principle. As with momentum analysis (see Chapter 9), measures of investor sentiment are insufficient for an accurate market analysis because they do not address the question: How bullish is enough or how bearish is enough to indicate an approaching trend change in the current environment? Some tops and bottoms are of Intermediate degree, and some are of Grand Supercycle degree. The only way to anticipate the extremity of market mood is with an approach that can address that crucial factor. Once that approach is available, psychological measures can be invaluable in *confirming or negating* a market opinion. If the sentiment picture fits, fine; if it does not, then the analyst must reconsider. As an example of an application of this approach, read this quotation from our 1978 book, *Elliott Wave Principle*:

One of our objections to the “killer wave” occurring now or in 1979, as most cycle theorists suggest, is that the psychological state of the average investor does not seem poised for a shock of disappointment. Most important stock market collapses have come out of optimistic, high-valuation periods. Such conditions definitely do not prevail at this time, as eight years of a raging bear market have taught today’s investor to be cautious, conservative and cynical. Defensiveness is not in evidence at tops.

Are today’s investors still “cautious, conservative, cynical and defensive,” or has the market since that time reached a “high-